

Who is already here, who could **get here**, and why they have not

Twenty three products across six categories were read on their own published material. The market splits cleanly in two, and the split is the investment case. Every vendor with a real Canadian presence sells anti money laundering or data plumbing and does not touch end user funds. Every vendor that handles end user funds properly is British and sells against British rules. Nobody occupies the intersection. This document names the gaps, ranks the firms that could close them, and states what each would have to build or buy first.

23

PRODUCTS
ASSESSED

6

WITH A REAL
CANADIAN PRESENCE

0

OF THOSE SIX THAT
TOUCH HELD FUNDS

4

THAT DO THE DAILY
CALCULATION

0

THAT DO IT UNDER
THE CANADIAN RULE

1 Start here

This document assesses a market, so it helps to know what the market is for. Since 8 September 2025, a Canadian business holding money that belongs to its customers has had to write down every day how much it is holding and who it belongs to, keep that record, and produce it when an outside examiner asks. Software that does this has to reach two places at once: the bank account, to see what is actually there, and the customer ledger, to see what is owed. Almost no product reaches both.

What the market divides into

Products that watch a company's systems and collect proof for an auditor, which never see money. Products that match two sets of numbers and report the difference, which never carry a compliance duty. And advisers, who do the work by hand.

Where the two halves meet

Four products reach both the bank and the ledger and compute a daily position. All four were built for the British rules, and none carries the Canadian ones.

Two words used throughout

Safeguarding means holding customer money apart from the company's own and proving every day that it is all there. Reconciliation means comparing two numbers that should agree: what the bank holds, against what the books say customers are owed.

Why that matters for an investment

The gap is not a framework badge, which anybody can add in a week. It is that reaching both sides is a different product rather than a feature, which is why the category has stayed split on both sides of the Atlantic.

2 Who is already in Canada, and what they sell

Six of the twenty three have a Canadian entity, a Canadian office or named Canadian customers. Nasdaq Verafin is headquartered in St. John's and files to FINTRAC, the Financial Transactions and Reports Analysis Centre of Canada. Flinks is in Montreal and majority owned by National Bank of Canada. Trulioo is in Vancouver. Alessa is Ottawa built under a Toronto parent. Diligent runs a large Vancouver office from its Galvanize acquisition. Duco has Scotiabank as a client. Not one of the six holds a safeguarding position, computes what is held against what is owed, or carries the Retail Payment Activities Act.

The four firms that do the work properly are all in one country, and it is not this one

AutoRek in Glasgow, Kani Payments in Newcastle, Guardexia in London and Equali in London each compute a daily position on money held for customers, and calculate any shortfall. All four are built for the British client asset rules. The widest jurisdiction claim any of them makes in a priced product is the United Kingdom and Europe in one tenancy. One of them, AutoRek, names Canada in a single marketing line with no Canadian regulatory content anywhere behind it.

Vendor	Canadian presence	What it sells	Touche end user funds
Nasdaq Verafin	Headquarters in St. John's	Money laundering monitoring and FINTRAC filing	No
Flinks	Montreal, majority owned by National Bank of Canada	Bank data connections and payment rails	No
Trulioo	Vancouver	Identity and business verification	No
Alessa	Ottawa engineering, Toronto parent	Money laundering programme platform	No
Diligent	Vancouver office, from the Galvanize acquisition	Board governance, audit and entity management	No
Duco	Scotiabank as a named client, New York office	Configurable reconciliation for capital markets	No
Vendors in Canada holding a safeguarding position	None of them		None

Legend. Canadian presence means an entity, an office or a named Canadian customer on the vendor's own material. Touches end user funds asks whether the product reaches both a bank balance and a customer ledger. Read on 16 and 17 August 2026.

3 The five gaps, and the evidence that nobody fills them

The gap	What was checked	Result
The Canadian duty itself	Every published framework catalogue, including Drata's 33 and Vanta's 23	Zero of twenty three carry SOR/2023-229
A record provably unaltered	Every vendor's own integrity and audit claims	Two say immutable, neither describes a mechanism
Both sides of the position	Whether each product ingests bank balances and a customer ledger	Four do, all British; twelve platforms ingest neither
History never captured	Whether any product reconstructs a period before it was connected	None. All twenty three start at the connection date
A citable page for a reviewer	What each product hands to an outside party	A certificate page, or auditor read access to control tests

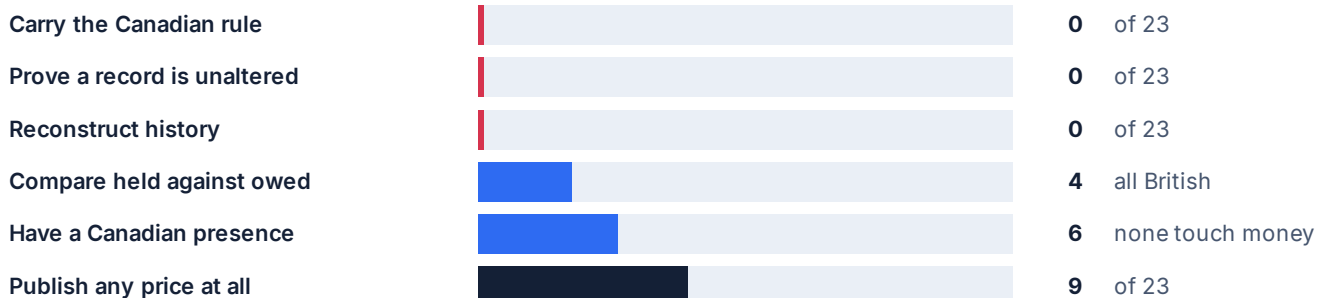
Legend. Result states what the published material shows, not what a vendor might build. Read on 16 and 17 August 2026. A vendor absent from a catalogue is recorded as not covering the regime rather than as unable to.

1 Why the framework gap is the smallest one

- Adding a rule to a framework library is a week of work.
- Drata shipped three new regimes in one year, including an Australian prudential one.
- So the moat is not the rule. Anybody can print the rule.
- The moat is that a rule badge without a ledger behind it is marketing, and a supervisor sees through it.

2 Why the ledger gap is the large one

- Not one of the twelve evidence platforms connects to a bank account.
- Not one of them connects to a customer funds ledger either.
- Both connections are needed before the daily comparison can exist at all.
- That is a different product, not a feature, and it is why the category has stayed separate on both sides of the Atlantic.



Bars start at zero and run to twenty three, the full set assessed. Publish any price counts a figure of any kind on a vendor's own site or in a published schedule. The other fourteen quote on request.

4 The threats, ranked, with what each would have to do first

Cable, inside Synctera. The shortest path

Synctera acquired Cable in April 2026 and already operates in Canada with a Canadian sponsor bank. Cable's entire pitch is producing evidence an outside party can be pointed at, including auditor read only access, which maps onto the outside review the rules require. What it would have to build: the safeguarding ledger itself. Cable tests controls and holds no funds position of any kind. One real build, next to the right shape of engine.

AutoRek. The one already claiming the ground

It has the hardest part built: daily client money computation, shortfall calculation, breach tracking and regulatory return generation, with the Bank of England and Lloyds as named users. It has already put Canada on its coverage line. What it would have to build: the Canadian rule layer, the Bank of Canada reporting formats, a reviewer facing evidence pack, and a North American sales presence it does not currently disclose. That is localisation on an existing engine, not new architecture.

Workiva. The one with the Canadian relationships

6,750 customers, \$255M in a quarter, named Canadian financial institutions, and linked data that propagates from source to disclosure with a change record. What it would have to build: bank and ledger ingestion it does not have, and a reconciliation engine. What it would have to decide: that a few hundred Canadian registrants justify dedicated content against a customer base whose average signed contract is about US\$50,000. The obstacle is the economics rather than the capability.

Diligent. The one with people in Canada

It owns Vancouver based Galvanize, whose heritage is analytics over whole transaction populations, which is closely adjacent. What it would have to decide: to point that at payments safeguarding rather than internal audit, and to accept a market below its board portal contract value. It discounts less than any peer, which reads as a company defending a premium rather than chasing a niche.

Duco. Capability without appetite

155 people, EUR 35M of revenue, Nordic Capital behind it, a New York office and Scotiabank as a client. It publishes commentary on payment provider reconciliation and has declined to build a client money module even in its home market, where the deadline has already passed. Monitored, not feared.

Every one of the five has to build the same missing piece, and only one has a reason to

Cable, Workiva and Diligent all need a ledger and a daily comparison they do not have. Duco has the engine and has twice declined the market. AutoRek is the exception: it needs only the Canadian rule layer and a sales presence, and it has already written Canada on its site. If one name is watched every quarter, it is that one.

5 The mitigation. Why this can be done in a way they cannot

1 The rule is ours to be first on

- No vendor holds a Canadian safeguarding customer today, so there is no incumbent to displace and no reference to be measured against.
- The British specialists reach the United Kingdom and Europe. None of them has opened a third jurisdiction.
- The evidence platforms would have to build a ledger before a Canadian badge means anything.
- First is available, and it is available for a defined period rather than forever.

2 The proof is the product, not the badge

- The section 17 reviewer is independent by law and had no part in building the framework, so the evidence has to stand without the firm explaining it.
- Nobody in the field sells a record an outside reviewer can prove has gone untouched.
- Two vendors use the word immutable. One gives no mechanism and the other means append only bookkeeping.
- A record that carries its own proof is the one thing a competitor cannot answer by adding a framework tile.

The strongest mitigation is that the people who could take this are pointed somewhere else, and have been for years

Kani raised a Series A and pointed it at the United States, not Canada. AuditBoard's declared international expansion was Germany. Drata's was Europe. Vanta's framework catalogue has no Canadian entry of any kind, not even privacy. Duco has published on payment provider reconciliation for years and built nothing. None of that is permanent, and none of it is a moat. It is a window, and it should be carried as a window rather than as a defence.

6 The proof points, which matter more than the threats

Company	What it proves	Scale when it did it
Kani Payments	A small team can win this category outright	30 staff, two industry awards
Guardexia	A single founder can ship a priced safeguarding product	early adopter rate for the first three clients
Gresham Technologies	The category supports a nine figure outcome	GBP 146.7M, taken private 2024
Duco	A focused reconciliation business reaches real scale	EUR 35M revenue, 155 people
Nasdaq Verafin	Canadian regulatory software is worth buying	US\$2.75B, headquarters kept in St. John's

Legend. Scale is the published figure at the point the claim was made. Kani and Guardexia are cited as proof that headcount is not the barrier in this category. Gresham, Duco and Verafin are cited as outcomes, not as forecasts.

7 What would have to be true for this to be wrong

AutoRek productises Canada without saying so	It has the engine, it has top bank references, and it has already written Canada on its coverage line. If it ships a Bank of Canada module before there are signed Canadian contracts on our side, the first mover claim goes with it. This is the single most important thing to watch, and the check is its own website.
Synctera pushes Cable into safeguarding	The Canadian sponsor bank and the auditor facing evidence engine are already in the same corporate group. The gap is the ledger. If the group decides that Canadian payment providers are a segment rather than an accident, it starts closer than anybody.
The share of firms carrying a second duty is lower than modelled	The second regulator line is \$13,766,769 in 2031, and rests on the share of customers carrying a second regulated duty. No published Canadian figure exists for that share. The workbook carries a check that flags the line above fifteen per cent of revenue, and the line should be switched off in any conversation until a second regulator customer is signed.
The reconstruction line does not sell	It carries \$2,466,000 in 2028 on a duty firms may choose to ignore until a reviewer actually arrives, and the regulation names no date on which one must. If firms wait, the revenue arrives later rather than never, and the road to the seed gets longer.
An adviser productises before we do	The Canadian market is served by advisers today and none of them publishes a price. The barrier to one of them putting a fixed fee on an annual report pack is low, and it does not require software.

None of these is a reason not to proceed. All five are reasons to sign contracts before arguing the position

Every threat above is answered by the same thing: named Canadian customers with a signed price, on a record a reviewer has accepted. Three signed contracts at the enterprise tier retire the pricing objection. One completed independent review that used our evidence pack retires the product objection. Nothing else retires either.

What retires the objection	How many	By when
Signed Canadian contracts at the enterprise tier	3	before the seed is priced
A completed independent review using our evidence pack	1	before the seed is priced
A named second regulator customer, to switch Line E on	1	before Line E is quoted
A published partner or white label comparable	1	before that tier is quoted

Legend. Each row is a defect in the evidence rather than in the plan. Until the row is satisfied, the figure it supports should be presented with the gap named beside it. Source: 4orm Finance master pro forma of 17 August 2026.

8 Sources, with the date each was read

What was taken	Publisher, click to open	Read	Class
Sections 10, 15, 17 and 18 in full	Justice Laws, SOR/2023-229	17 Aug 2026	Primary
Frameworks in force 8 September 2025	Bank of Canada	17 Aug 2026	Primary
Revenue, customers and contract bands	Workiva investor releases	17 Aug 2026	Primary
Acquisition of Cable, April 2026	Synctera, on Business Wire	17 Aug 2026	Primary
Canadian platform and sponsor bank	Synctera	17 Aug 2026	Primary
Canadian bases and named customers	Verafin , and Flinks	17 Aug 2026	Primary
Revenue, headcount and ownership	Nordic Capital, on Duco	17 Aug 2026	Primary
Results and the take private	Gresham Technologies	17 Aug 2026	Primary
Safeguarding tier pricing	Guardexia	17 Aug 2026	Primary
Safeguarding scope and contract term	Kani Payments	17 Aug 2026	Primary
The coverage claim naming Canada	AutoRek	17 Aug 2026	Primary
Published framework catalogues	Drata , and Vanta	17 Aug 2026	Primary
Observed contract data	Vendr , and BD Emerson	17 Aug 2026	Secondary
United States and pound sterling rates of 14 August 2026, 1.3875 and 1.8790	Bank of Canada and sterling	17 Aug 2026	Primary

Legend. Primary means read on the publisher's own material: a statutory instrument, a regulator page, an issuer release or a vendor's own site. Secondary means a third party compilation of observed contracts. Every publisher above is a link that opens the page the figure was read on.

One thing this document deliberately does not claim. No first date for an independent review appears anywhere in it, because the regulation names none. Any date a reader wants is arithmetic from 8 September 2025. The duty that carries the reconstruction line is section 15, the daily list of what each customer is owed, which has applied since that date.